

Chapter-6

Q: ① Wage Determination in Competitive Market

Ans: There are five key assumptions in the model of perfect competition:

① Business firms seek to maximize profits and workers seek to maximize utility

② workers and firms have perfect information about wages and job opportunities in the labor market.

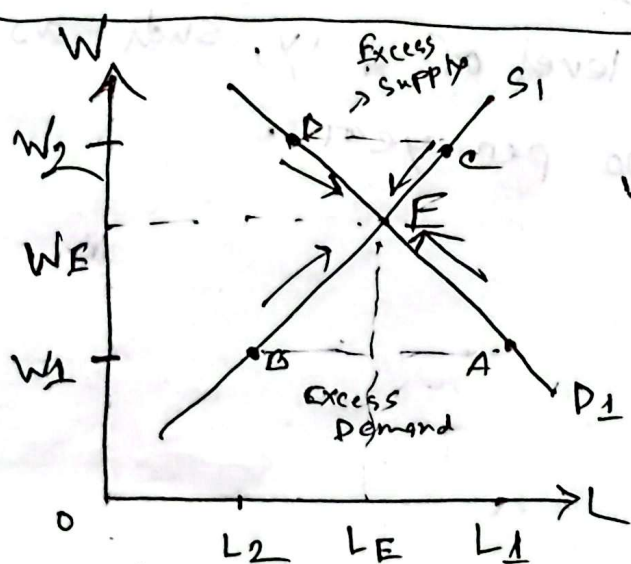
③ workers are identical w.r.t skill and productivity and jobs are identical w.r.t working condition and other non-wage attributes

④ The labor market is composed of many individual firms and workers, workers do not belong to unions and firms do not collude

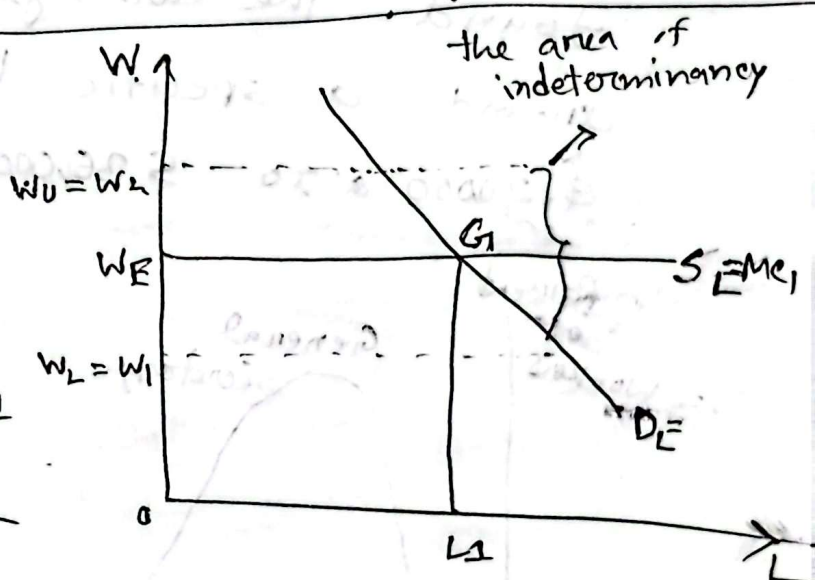
⑤ All jobs in the labor market are open to competition by workers and costs of mobility are zero.

The Law of one wage: states that in a competitive labor market the competition between buyers and sellers will result in the establishment of one uniform 'going' wage rate that will be paid by all the firms and received by all the workers

The determination of wages in a Perfectly Competitive M:



a) Market



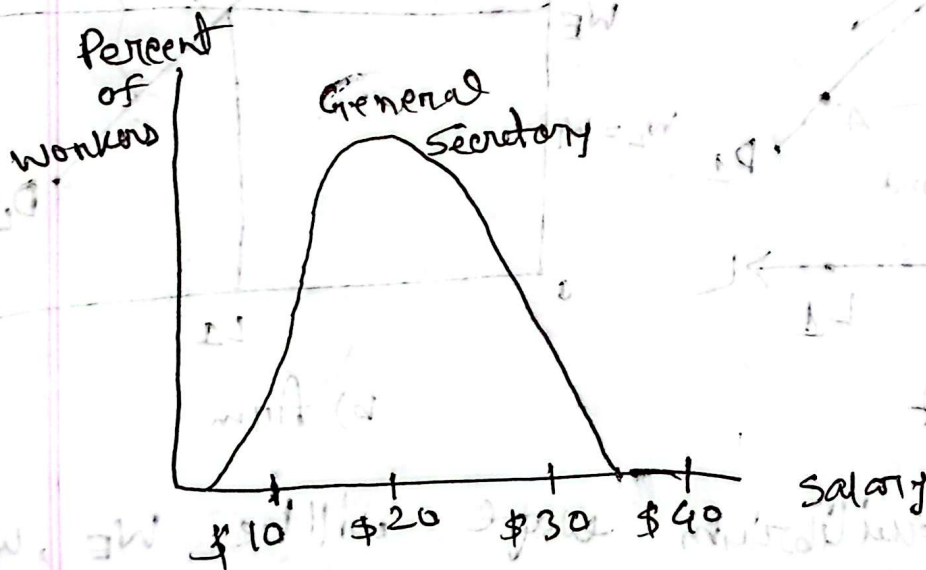
b) firm

In PCM, the equilibrium wage will be W_E , where Demand and supply are equal. At W_1 , there is excess demand and competition will force the wage up. At W_2 , there is an excess supply of labor and the wage will fall until W_E is reached.

In graph (b), at W_E wage rate, the individual firm can hire all the labor it wants at that wage.

If it pays a wage less than W_E , it will lose all its workers, if it pays more than W_E , the competitive firm will lose profits and be forced out of business.

In an empirical study, there is no single wage found. The earnings distributions are centered around a specific level of pay, such as \$20,000 to \$30,000 per year.

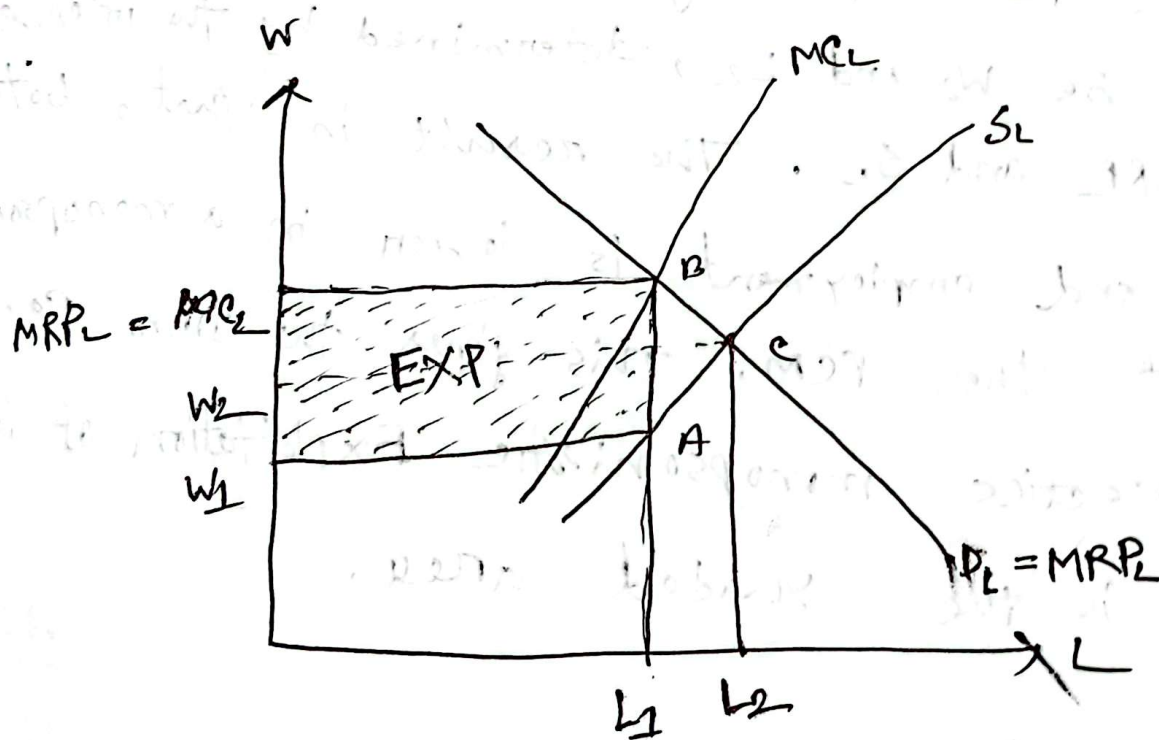


2Q:- Wage Determination in a Monopsony Market

Ans: A monopsony has only one firm in the market like a one-company town where the only source of jobs in the local area is a textile mill or a coal mine.
monopoly arises

— When employers compete in the local labor market but only one employer demands a specific set of skills.

— Seniority, pension rights, company loyalty, marriage and family obligations



Market & firm both

Here equilibrium is at point B where

$$MRP_L = MC_L$$

MC_L lies above the supply curve S_L and is more steeply sloped because of the marginal increase in labor cost while hiring an additional labor.

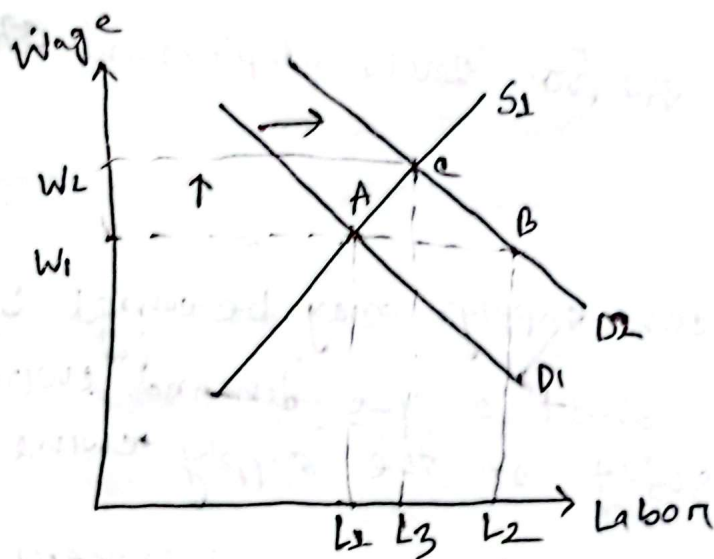
The monopsonist will hire at L_1 , at point B. In the figure, the extra revenue brought in from hiring an additional worker (MRP_L) is just equal to the MC_L .

Under PCM, the wage rate and employment level would be W_2 and L_2 , determined by the intersection of MRP_L and S_L . The result is that, both wages and employment is lower in a monopsonistic market than PCM. This gives the firm power to practice monopsonistic Exploitation of labor which is the shaded area.

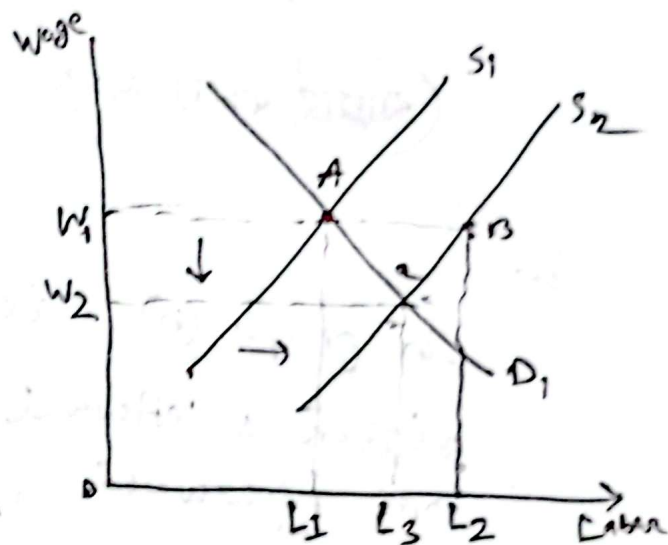
Q.3: The process of market Adjustment

Ans: There are two cases

- Excess Demand in the labor market
- Excess Supply " " " "



(a) Excess Demand



(b) Excess Supply

In graph (a), the increase in Labor Demand or decrease in Labor supply (here the former case), shifts the demand to the right from D_1 to D_2 . With the wage rate of W_1 , the employment level has increased from L_1 to L_2 . There is an excess demand for labor of $L_1 - L_2$, this will cause the firms to bid up wages from W_1 to W_2 , where demand is again equal to supply. At the new equilibrium, employment level L_3 is higher than L_1 but lower than L_2 .

Three things will happen in this labor market

1) Absolute wage will rise

2) Relative u will fall

3) Level of employment will rise

(ସମ୍ପର୍କ ରକ୍ଷା କରନ୍ତୁ ଏବଂ ନିମ୍ନ ସ୍ତରର employment ଦିଅନ୍ତୁ)

In graph (b), excess supply may be caused by either a leftward shift of the demand curve or rightward shift of the supply curve.

Assuming, a sizable migration of job seekers enters this labor market, shifting the supply curve from S_1 to S_2 .

Three things will happen -

1) Absolute wage will fall

2) Relative u will fall

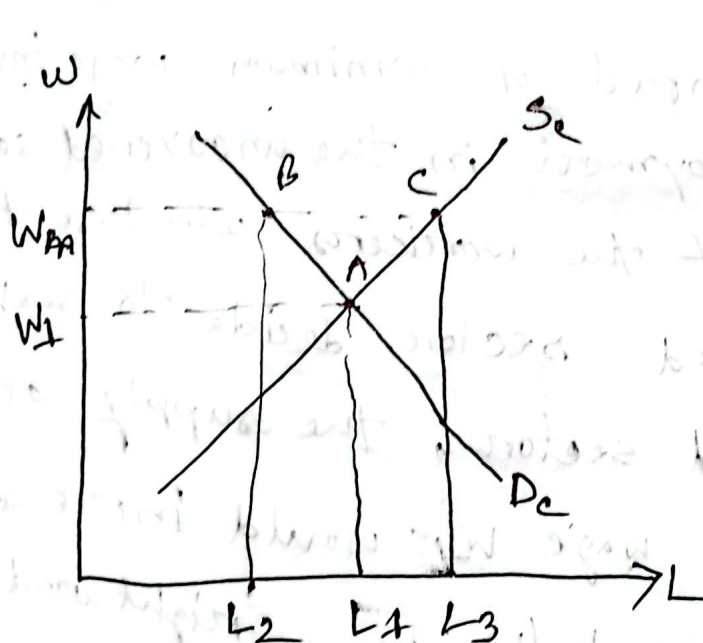
3) Level of employment rises

Q10 The impact of a minimum wage in a perfectly CM.

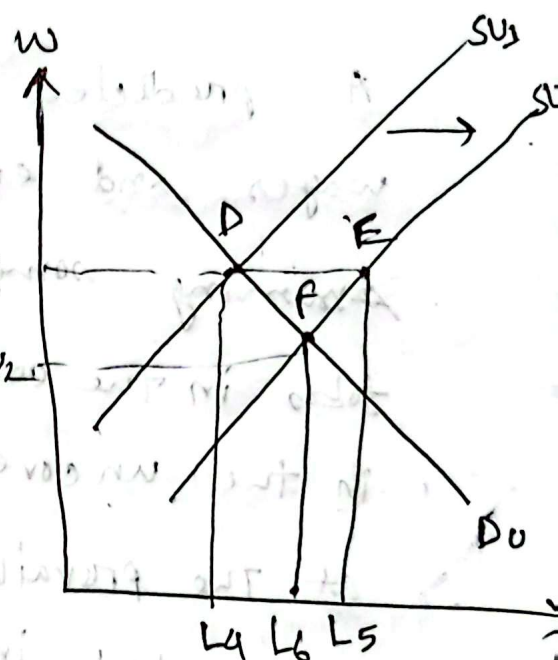
Ans: There are two sectors

- 1) Covered Sector
- 2) Uncovered Sector

Before the enactment of a minimum wage Law, the wage rate in both covered & uncovered sectors is W_1 .



(a) Covered Sector



(b) Uncovered Sector

The covered sector imposes minimum wage law, W_m which is above the market wage. Here, employment level declines, ~~and shift~~ from L_1 to L_2 .

$L_1 \rightarrow L_2$: Scale effect

$L_2 \rightarrow L_3$: currently unemployed

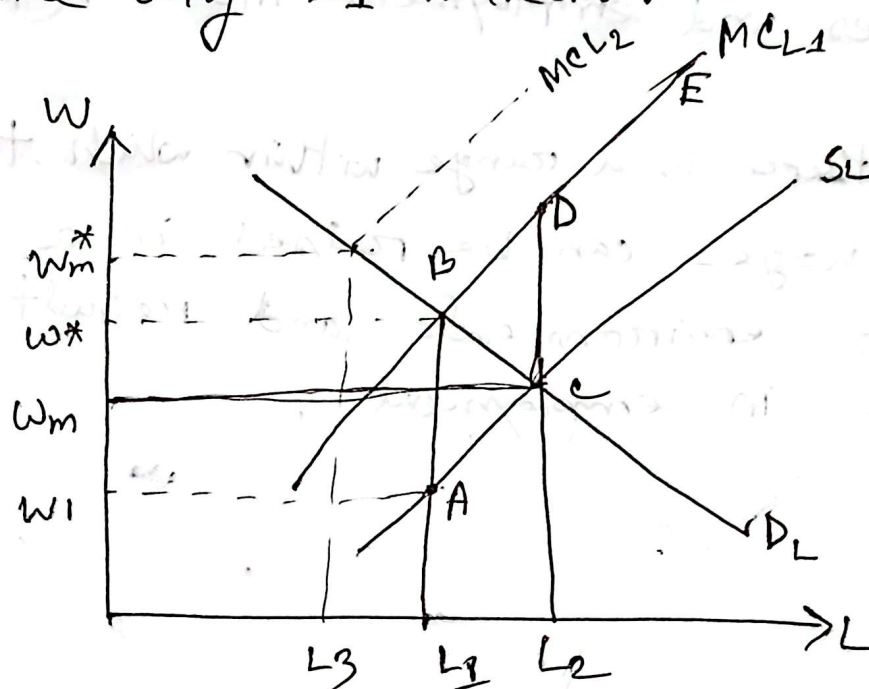
All of these workers may give up their job search in the covered sector as they can

- be
i) discouraged workers
- ii) pursuing some nonwork alternative
- iii) moving to uncovered sectors

A predicted impact of minimum wage involves wages and employment in the uncovered sector. Assuming some of the workers who lose their jobs in the covered sector decide to seek jobs in the uncovered sector, the supply of labor at the prevailing wage W_1 would increase, represented in graph (b) by a rightward shift in the supply curve from S_{U1} to S_{U2} , creating an excess supply. This excess supply creates a downward pressure on wage rate ~~by~~ and the wage rate declines from W_1 to W_2 , shifting the employment level from L_5 to L_6 .

5Q Impact of minimum wage in Monopsony market

Ans: Prior to the enactment of a minimum wage, the monopolistic would pay a wage of w_1 and hire only L_1 workers.



Suppose, a minimum wage is set at w_2 , not only workers earn a higher wage, employment also increases to L_2 . The reason is that, the MCL changes from MCL_1 to $w_m CDE$. Up to L_2 , the firm can hire each additional worker at wage w_m . If the govt raise the minimum wage beyond w^* , the employment level declines below the original level L_1 .

In this example, employment actually increases when Govt. mandates a minimum wage higher than the prevailing wage w_1 , both wages and employment increases (w_m, L_2).

However, there is a range within which, the minimum wage can be raised in a monopsony environment and result in an increase in employment.

